STRATEGIC BUSINESS MANAGEMENT

Suggested Answers
March-April 2023

Answer to the Question# 1(a)

a) Potential bases for segmenting the knitwear market could include:

- Geographic segmentation: dividing the market by regions or countries where the company's products are sold. This could allow the company to tailor their marketing efforts to the specific needs and preferences of each region or country, such as promoting products that are popular in a particular area or adjusting pricing to reflect local market conditions.
- Demographic segmentation: dividing the market by demographic factors such as age, gender, income, education, and occupation. This could help the company target specific groups of consumers with products that meet their unique needs and preferences, such as designing knitwear for a particular age group or income bracket.
- Psychographic segmentation: dividing the market based on lifestyle, personality, and values. This could help the company target consumers who share similar interests or values, such as designing knitwear for consumers who are interested in sustainable fashion or who value comfort and functionality over fashion trends.
- Behavioral segmentation: dividing the market based on consumer behavior, such as purchasing habits, brand loyalty, and product usage. This could help the company target consumers who are more likely to purchase their products, such as those who have previously bought knitwear from the company or who have a preference for products made in South Asia.

By segmenting the market, Billy's company could better understand the needs and preferences of different groups of consumers and tailor their marketing efforts to meet those needs. This could help the company build brand awareness and loyalty, increase sales, and differentiate itself from competitors.

Answer to the Question# 1(b)

b) As a market follower, Billy could pursue several strategies to make her knitwear company more competitive:

- Differentiation: Billy could differentiate her company's products from those of competitors by emphasizing the unique designs and ethnic patterns of her knitwear. By establishing a distinctive brand image, the company could attract consumers who value uniqueness and style.
- Cost leadership: Billy could focus on reducing costs to offer her products at lower prices than competitors. This could help the company attract price-sensitive consumers who are looking for affordable knitwear.
- Niche marketing: Billy could focus on serving a specific niche market, such as consumers who are interested in sustainable fashion or who prefer handmade products. By catering to a specific group of consumers, the company could differentiate itself from competitors and build a loyal customer base.
- Strategic alliances: Billy could form strategic alliances with other companies or organizations to expand her company's reach and build brand awareness. For example, she could partner with fashion bloggers or social media influencers to promote her products to a wider audience.
- International expansion: Billy could consider expanding her company's operations to other countries or regions to tap into new markets and increase sales. By leveraging her expertise in South Asian knitwear, she could target consumers who are interested in ethnic fashion or who value handmade products.

Answer to the Question# 2(a)

We shall analyze SAP's attempt to enter the SMB market using Porter's five forces model:

1. Threat of new entrants: The threat of new entrants in the SMB market was low, as the ERP industry required substantial capital investment, highly skilled workforce, and established brand recognition to compete effectively. SAP had a significant advantage in this regard due to its long-standing reputation and experience in the ERP industry. However, as the company attempted to enter the SMB market, it faced a new set of competitors, such as NetSuite and Salesforce.com, which were specifically designed to cater to the needs of SMBs.
2. Threat of substitutes: The threat of substitutes was high, as SMBs could opt for low-cost alternatives to SAP's Business ByDesign, such as off-the-shelf software packages, or opt for customized solutions from smaller ERP vendors. Moreover, as cloud-based ERP solutions started to gain momentum, it became increasingly difficult for SAP to compete with cloud-based ERP vendors who offered similar services at lower prices.
3. Bargaining power of customers: The bargaining power of customers in the SMB market was high, as they had the option to choose from multiple ERP vendors. Moreover, the cost of switching between vendors was relatively low, as the scale and complexity of ERP systems for SMBs were significantly lower than those for large enterprises.
4. Bargaining power of suppliers: The bargaining power of suppliers was low, as SAP had a vast network of suppliers and partners who could provide the necessary software components and services at competitive prices.
5. Competitive rivalry: The competitive rivalry in the SMB market was intense, with numerous ERP vendors vying for a slice of the market. In addition, established cloud-based ERP vendors, such as Salesforce.com and NetSuite, had a significant head start in the SMB market, making it challenging for SAP to catch up.

In conclusion, SAP's attempt to enter the SMB market with its Business ByDesign product faced significant challenges. Although the strategy was sound, the company struggled to adapt its organizational structure and culture to the requirements of the SMB market. Additionally, the intense competitive rivalry and high threat of substitutes in the SMB market made it challenging for SAP to gain a foothold.

Answer to the Question# 2(b)

SAP is making a serious move for the midmarket with SAP, its “business-transformation-as-a-service” offering. With the sea change in attitudes toward technology’s transformative power, the midmarket needs guidance moving standalone, short-term-focused digital transformation initiatives toward a fully integrated strategy.

SAP (Systems, Applications, and Products) is a multinational software corporation that offers enterprise software solutions to businesses of all sizes across various industries. The company's SAAS (Software as a Service) growth strategy focuses on delivering cloud-based solutions to customers and expanding its presence in the SAAS market. SAP SE, a leading enterprise software company, has a Software as a Service (SaaS) growth strategy that has been key to its success in recent years. Here are the details of SAP's SaaS growth strategy:

Product Innovation: SAP invests heavily in product innovation to offer cloud-based solutions that meet the changing needs of customers. The company regularly introduces new features and functionalities to its SAAS products to enhance user experience and stay ahead of the competition.

Acquisition Strategy: SAP has a robust acquisition strategy that focuses on acquiring smaller cloud-based companies to enhance its SAAS offerings. In recent years, the company has acquired several cloud-based companies, such as Ariba, Concur, and SuccessFactors, to expand its SAAS portfolio.

Strategic Partnerships: SAP has formed strategic partnerships with leading cloud providers, such as Microsoft Azure and Amazon Web Services, to enable customers to deploy SAP SAAS solutions on these platforms. This has helped SAP to increase its market share and accelerate its growth in the SAAS market.

Customer Focus: SAP places a strong emphasis on customer satisfaction and has implemented various measures to enhance the customer experience. The company offers 24/7 support to customers and provides access to a comprehensive knowledge base to ensure that customers can quickly and easily find solutions to their problems.

Market Expansion: SAP is continuously expanding its presence in new markets and industries to drive growth. The company has been successful in penetrating emerging markets, such as Asia-Pacific and Latin America, and expanding its reach in established markets, such as North America and Europe.

Subscription-Based Model: SAP has adopted a subscription-based model for its SAAS offerings, which provides customers with more flexibility and scalability. This model also ensures a recurring revenue stream for the company, which is critical for long-term growth and sustainability.

Overall, SAP's SAAS growth strategy has been successful in enabling the company to stay ahead of the competition and capitalize on the growing demand for cloud-based solutions. By focusing on product innovation, acquisitions, strategic partnerships, customer satisfaction, market expansion, and a subscription-based model, SAP has been able to drive growth and maintain its leadership position in the enterprise software market.

Expanding SaaS Portfolio: SAP has been expanding its SaaS portfolio by acquiring companies that offer cloud-based solutions. In recent years, the company has acquired several SaaS-based businesses such as Qualtrics, Ariba, SuccessFactors, and Concur, to expand its portfolio and offer a comprehensive suite of cloud-based solutions.

Shifting from On-Premises to Cloud: SAP has been shifting its focus from traditional on-premises software to cloud-based solutions. This shift has been driven by the increasing demand for cloud-based solutions among customers, and SAP's recognition of the benefits of cloud-based solutions, such as scalability, flexibility, and reduced IT costs.

Building Partnerships: SAP has been building partnerships with other companies to expand its reach and offer integrated solutions. For example, the company has partnered with Microsoft to offer SAP S/4HANA on Microsoft Azure, and with IBM to offer SAP S/4HANA on IBM Cloud.

Investing in Innovation: SAP has been investing in research and development to innovate and offer new cloud-based solutions to customers. The company has been developing new technologies such as machine learning, artificial intelligence, and blockchain, which can be integrated into its cloud-based solutions to enhance their functionality and value.

Customer-Centric Approach: SAP has been adopting a customer-centric approach by listening to customers' needs and tailoring its solutions to meet those needs. The company has been conducting customer surveys, gathering feedback, and incorporating it into the development of its cloud-based solutions.

Promoting Sustainability: SAP has been promoting sustainability as a key part of its SaaS growth strategy. The company has been developing solutions that help customers reduce their carbon footprint and achieve sustainability goals.

Overall, SAP's SaaS growth strategy has been successful in driving the company's growth and expanding its reach in the cloud-based solutions market. By expanding its portfolio, shifting to the cloud, building partnerships, investing in innovation, adopting a customer-centric approach, and promoting sustainability, SAP has positioned itself as a leader in the SaaS market.

Answer to the Question# 3(a)

An entity shall disclose information that enables users of its financial statements to evaluate the nature and extent of risks arising from financial instruments to which the entity is exposed at the end of the reporting period. The required disclosures focus on the risks that arise from

financial instruments and the risk management initiatives. The following types of risks are typically included but not limited to: (i) credit risk, (ii) liquidity risk and (iii) market risk.

Qualitative and quantitative disclosures are required to elaborate on the nature and extent of risks arising from the financial instruments.

Qualitative disclosures shall include:

a. the exposures to risk and how they arise;

b. the objectives, policies and processes for managing the risk and the methods used to measure the risk; and

c. any changes in (a) or (b) from the previous period.

Quantitative disclosures shall comprise of data about its exposure to that risk (including concentration of risk) at end of the reporting period.

1. Credit Risk: By class of financial instrument, an entity shall disclose:
   - The amount that best represents its maximum exposure to credit risk at the end of the reporting period without taking account of any collateral held or credit enhancements.
   - Description of collateral held as security and of other credit enhancements, and their financial effect in respect of the amount that best represents the maximum exposure to credit risk.
   - Information about the credit quality of financial assets that are neither past due nor impaired.

2. Liquidity Risk An entity shall disclose:
    - a maturity analysis for non-derivative financial liabilities (including issued financial guarantee contracts) that shows the remaining contractual maturities;
    - a maturity analysis for derivative financial liabilities. The maturity analysis shall include the remaining contractual maturities for those derivative financial liabilities for which contractual maturities are essential for an understanding of the timing of the cash flows; and
    - a description of how it manages the liquidity risk inherent in (a) and (b).
3. Market Risk An entity shall disclose:
    - a sensitivity analysis for each type of market risk to which the entity is exposed at the end of the reporting period, showing how profit or loss and equity would have been affected by changes in the relevant risk variable that were reasonably possible at that date;
    - the methods and assumptions used in preparing the sensitivity analysis; and
    - changes from the previous period in the methods and assumptions used, and the reasons for such changes.

If the entity prepares a value-at-risk sensitivity analysis that reflects interdependencies between risk variables (e.g. interest rates and exchange rates) and uses it to manage financial risks, it may use such a sensitivity analysis. If so, the entity shall also disclose an explanation of the method used in preparing the analysis including the parameters and assumptions. An explanation of the objective of the method used and of limitations that may result in the information not fully reflecting the fair value shall be disclosed as well.

Answer to the Question# 3(b) (i)

Suggestions for Vendor Risk Management

- Vendor contract should include information security requirements, specific responsibilities and consequences for unauthorised access to information of the company.
- Evaluate, assess, approve, review control and monitor the risks and materiality of vendors and ensure that they are in sync with the information security policy of the company.
- In the SLA (Service Level Agreement) legal and regulatory requirements including data protection, intellectual property rights and copyrights should be included.
- SLA shall include confidentiality including background check clause and credentials of vendor personnel accessing and managing critical data shall be maintained and monitored.

Answer to the Question# 3(b) (ii)

Characteristics of cyber-resilient organization

A cyber-resilient organization should know just how bad a cyber-attack would need to be to threaten its viability, or to have its credit rating downgraded. This is called reverse stress testing. Through systematic reverse stress testing, measures can be developed to protect a corporation against such unacceptable outcomes. Defining characteristics of cyber-resilient organization are as follows:

- Identification of risk areas: whether it is own or outsourced network, internet, individual computers, mobile devices etc. Prioritization of resources and effort can be managed accordingly.
- Adequately restricting access to systems is the common way to prevent cyber risk: this is done by password protection at various levels, from common user to administrator level.
- Encryption solutions on individual computers is also done in a manner that if lost, the unauthorised entity cannot download the data into an external storage device.
- There are several technology solutions that create an adequate firewall of the organisation's systems to protect them from hacking from outside.
- A regular vulnerability testing of the firewall and periodic review to upgrade it is one of the main tasks of the information security manager. Detection of a test-attack is very important part of the preventive mechanism; an attacker may attempt to cause a minor violation to test the organisation's network security before causing a major incident.
- A response strategy to a cyber-attack incident is also important as part of risk management. The measures to prevent or mitigate customer disputes, legal indemnities, assess and minimize the financial impact of a cyber-attack, and governance over decision making and investments to restore the system functionalities

to its secure state, are all important considerations. The root cause of these incidents and the impact have to be adequately documented.

- Like some institutions failed during global financial crises, this period represented stress to default scenario. It involves extremely unlikely events which force the companies to think about the firm's most serious vulnerabilities and design stress to default scenarios accordingly.

Answer to the Question# 3(b) (iii)

Enterprise risk management (ERM)

Enterprise risk management (ERM) is a plan-based business strategy that aims to identify, assess and prepare for any dangers, hazards and other potentials for disaster - both physical and figurative - that may interfere with an organization's operations and objectives.

The various features of ERM are as follows:

- Determining the risk appetite.
- Establishing an appropriate internal environment, including a risk management policy and framework.
- Identifying potential threats to the achievement of its objectives and assessing the risk, 1.e., the impact and likelihood of the threat occurring.
- Undertaking control and other response activities.
- Communicating information on risks in a consistent manner at all levels in the organisation.
- Centrally monitoring and coordinating the risk management processes and the outcomes) and
- Providing assurance on the effectiveness with which risks are managed.

Relationship between ERM and BCP

- There is an important relationship between ERM and BCP. The risk assessment that is required as part of the risk management process and the business impact analysis that is the basis of business continuity planning (BCP) are closely related. The normal approach to risk management is to evaluate objectives and identify the individual risks that could impact these objectives. The output from a business impact analysis is the identification of the critical activities that must be maintained for the organization to continue to function.
- It can be seen that the ERM approach and the business impact analysis approach are very similar, because both approaches are based on the identification of the key dependencies and functions that must be in place for the continuity and success of the business.
- The next activity differs between ERM and BCP, because the former is concerned with the management of the risks that could impact processes, whereas business continuity is concerned with actions that should be taken to maintain the continuity of individual activities.
- The business continuity approach, therefore, has the very specific function of identifying actions that should be taken after the risk has materialised to minimise its impact.
- BCP relates to the damage-limitation and cost-containment components of the loss control. BCP as a part of operational risk should always be part of the ERM and should be managed separately.

Answer to the Question# 3(b) (iv)

Advantages of a currency option contract as a hedging tool compared with the forward contract:

The major advantage of a currency option is the upside potential should the exchange rate move in favour of the company unlike futures where the rate is fixed.

The major downsides are the premium payment that increases the cost of hedging should the exchange rate move against the company. Also, there could be basis risk that could increase the cost of hedging.

Answer to the Question# 4(a)

The accounting treatment for the grant of share appreciation rights by Rahim Azmol Ltd. appears to be in line with the requirements of IFRS 2 Share-based Payment. The company has recognised an expense of TK.825,000, which represents the fair value of the share appreciation rights granted, and has also recognised a corresponding liability.

However, it is important to note that under IFRS 2, the fair value of share appreciation rights should be measured at the grant date, not the date of estimation. Therefore, if the fair value of the share appreciation rights on the grant date was different from the estimated fair value on 30 June 2020, the expense and liability should be adjusted accordingly.

Additionally, IFRS 2 requires companies to disclose certain information in their financial statements regarding share-based payment transactions. This includes disclosing the nature and terms of the arrangement, the fair value of the share appreciation rights granted, the accounting policy adopted, and the amount of expense recognised in the financial statements.

In summary, Rahim Azmol Ltd. has recognised the expense and liability for the share appreciation rights granted in accordance with IFRS 2. However, the company should ensure that the fair value of the share appreciation rights is measured at the grant date and that all required disclosures are made in the financial statements.

Answer to the Question# 4(b)

- The accounting treatment for the penalty notice issued by the national telecom regulator and the estimated penalty payable by Rahim Azmol Ltd. appears to be in line with the requirements of IAS 37 Provisions, Contingent Liabilities and Contingent Assets.

- IAS 37 requires companies to recognise a provision when there is a present obligation as a result of a past event, it is probable that an outflow of resources will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation.

- In this case, the past event is the breach of safety regulations identified by the national telecom regulator, which has resulted in a present obligation for Rahim Azmol Ltd. to pay a penalty. The company has estimated the amount of the penalty payable as TK.1.3 million and has also disclosed its expected repayment plan over the next ten years.

- However, it is important to note that since the negotiations with the regulator are still ongoing, the amount of the penalty payable is uncertain and the estimate may change. If the estimate of the penalty payable changes, the provision recognised in the financial statements should be adjusted accordingly.

- According to IAS 37 Provisions, Contingent Liabilities and Contingent Assets, the fine should be measured at its present value at the reporting date. IAS 37 states that where the effect of the time value of money is material, the amount of a provision should be the present value of the expenditures expected to be required to settle the obligation and that the discount rate used in the calculation should be a pre-tax rate which reflects current market assessments of the time value of money and the risks specific to the liability. The cash flows for the repayment of the fine over the ten years should therefore be discounted at an appropriate rate to present value as at 30 June 2021.

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• Furthermore, IAS 37 requires companies to disclose certain information in their financial statements regarding provisions, including the nature and amount of the provision, the expected timing of any outflows, and any uncertainties surrounding the amount or timing of the outflows.

• In summary, Rahim Azmol Ltd. has recognised a provision for the estimated penalty payable in accordance with IAS 37. However, the company should ensure that the provision is regularly reviewed and updated as negotiations with the regulator progress, and that all required disclosures are made in the financial statements.

Answer to the Question# 4(c)

Property development

The proposed valuation of the property at TK.4.9 million represents 8.4% of assets and is material to Rahim Azmol Ltd.'s statement of financial position as at 30 June 2021. According to IFRS 13 Fair Value Measurement, the fair value measurement of a non-financial asset should take into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant who would use the asset in its highest and best use.

The audit of the property development will be challenging for the auditor first because judgement will be required in order to identify the property's highest and best use per IFRS 13. The auditor must ensure, for example, that the valuation is compared to the property's fair value in its existing use as well as in any other potential uses. Indeed, there may be other potential uses which have not been considered.

IFRS 13 also states that the highest and best use of a non-financial asset such as a property must be:

- physically possible: this will therefore require independent expert confirmation that the conversion can be successfully undertaken;
- legally permissible: this will require obtaining confirmation of formal permission from the local planning authority; and
- financially feasible: this will require a detailed assessment of whether Rahim Azmol Ltd. will have sufficient cash flows in order to fund the development through to completion to complete development.

Overall therefore, the auditor will need extensive audit evidence, much of it from third parties, in order to confirm management's judgement that conversion into residential apartments represents the highest and best use of its former maintenance depot.

According to IFRS 13, when considering alternative uses for non-financial assets, the valuation should include all costs associated with the alternative uses. Hence, if the proposed development does represent the highest and best use of the property, the valuation should be adjusted for all of its associated costs. The proposed valuation at TK.4.9 million is not therefore in compliance with IFRS 13 and on the basis of the information available, the valuation should be TK.3,527,000.

(i.e. TK.4.9 million – TK.1.2 million – TK.173,000). If the additional costs are fairly stated therefore, the property is currently overstated by TK. 1.373 million (TK.4.9 million – TK.3,527,000). The auditor will, however, need external confirmation of the TK.173,000 in fees from the local building regulator and will also need to obtain sufficient appropriate audit evidence that the conversion costs of TK.1.2 million are fairly stated. The conversion costs will present a particular challenge to the auditor as they will be based on the estimation of industry experts and the amounts will be inherently uncertain. There may be unforeseen additional costs payable to complete the conversion which will be difficult for the auditor to identify and quantify.

Answer to the Question# 5(a) (i)

Calculate the minimum price per share at which OHP Ltd can offer to pay for ABC Ltd.'s share:

Market value (100,000 x Taka 30)	30,000,000
Synergy gains	10,000,000
Saving of overpayment	3, 200,000
Total	43,200,000
Maximum price (43,200,000/1,000,000)	Taka 43.20

Answer to the Question# 5(a) (ii)

Calculation of minimum price per share at which the management of ABC Ltd will be willing to offer their controlling interest.

Value of ABC Ltd's management holding (50% of 1000,000 x Taka 30)	15,000,000
Add: PV of loss of remuneration to top management	3,200,000
	18,200,000
No of shares	500,000
Minimum price (18,200,000/500,000)	Taka 36.40

Answer to the Question# 5(b) (i)

To calculate the theoretical minimum price of a 6-month forward purchase, we can use the cost-of-carry model. The cost-of-carry model assumes that the forward price of a security is equal to the spot price plus the carrying cost (i.e., the cost of holding the security) minus the income earned from the security.

In this case, assuming the carrying cost is 9% per annum, we can calculate the carrying cost for 6 months as (9%/12) x 6 = 4.5%.

Therefore, the theoretical minimum price of a 6-month forward purchase can be calculated as: Forward price = Spot price + Carrying cost = Taka 2,000 + (Taka 2,000 x 4.5%) = Taka 2,090

Answer to the Question# 5(b) (iii)

An arbitrage opportunity refers to a situation where it is possible to make a risk-free profit by exploiting market inefficiencies. In the context of securities trading, arbitrage occurs when an investor can simultaneously buy and sell the same security in different markets, taking advantage of price discrepancies between the two markets.

In this scenario, if the theoretical minimum price of a 3-month forward purchase calculated using the cost-of-carry model is lower than the 3-month futures price of Taka 2,250, there is an arbitrage opportunity. An investor could sell the 3-month futures contract for Taka 2,250, simultaneously buy the underlying stock for Taka 2,000, and hold it for 3 months. Cost of carry would be Taka 2000 + (Taka 2,000 x 2.25%) = Tk 2,045

At the end of 3 months, the investor could sell the stock for the forward price of Taka 2,250 and make a risk-free profit of Taka 205 per share.

Answer to the Question# 5(b) (iii)

Commodity derivatives are financial instruments that derive their value from underlying physical commodities, such as oil, gold, or agricultural products. Necessary conditions for commodity derivatives include:

- Existence of a physical commodity: Commodity derivatives are based on the value of an underlying physical commodity. Therefore, the commodity must exist and be traded in a market.
- Standardization: Commodity derivatives contracts must be standardized to enable trading on an exchange. Standardization includes the quantity, quality, and delivery terms of the underlying commodity.
- Clearing and settlement: Commodity derivatives trades must be cleared and settled through a central clearinghouse to manage counterparty risk and ensure the financial integrity of the market.
- Liquidity: Commodity derivatives markets must have sufficient liquidity to ensure that buyers and sellers can easily transact and obtain competitive pricing.
- Transparency: Commodity derivatives markets must have transparency to ensure that market participants have access to relevant information on the underlying commodity and the market conditions.

Answer to the Question# 6(a)

Assurance is important for blockchain because it provides increased security and trust for users. Blockchain technology is designed to be secure and immutable, meaning that the data stored on the blockchain cannot be changed or tampered with, giving users assurance that the data is safe and secure. Additionally, the distributed nature of blockchain technology provides additional assurance that the data stored is consistent across all nodes in the network. Blockchain innovation has the potential to significantly impact the audit profession in a number of ways. Here are a few examples:

Improved transparency and accuracy: Blockchain technology can provide auditors with a secure and immutable record of transactions, which can improve the accuracy and transparency of financial reporting. Auditors can use blockchain to verify the authenticity of transactions, track the movement of assets, and ensure compliance with regulations.

Automation of audit procedures: With the use of blockchain technology, auditing procedures could be automated to a greater extent than is currently possible. Smart contracts, for example, can be programmed to automatically execute certain audit procedures, such as checking for compliance with regulations or verifying the accuracy of financial data.

Increased efficiency and cost savings: By using blockchain technology to automate certain auditing procedures, auditors could potentially increase their efficiency and reduce costs. This could lead to a more streamlined auditing process that is less time-consuming and resource-intensive.

New business opportunities: As blockchain technology continues to develop, there may be new opportunities for auditors to offer specialized blockchain auditing services. Auditors with expertise in blockchain technology could be in high demand as companies seek to ensure the integrity and accuracy of their blockchain-based systems.

Overall, blockchain innovation has the potential to greatly impact the audit profession, leading to improved efficiency, accuracy, and transparency in the auditing process. However, there may also be challenges and risks associated with the adoption of blockchain technology, such as the need for auditors to develop new skills and expertise in this area, and the potential for errors or fraud in blockchain-based systems.

Answer to the Question# 6(b)

Auditing a blockchain-based company requires a comprehensive review of the company's systems and processes to ensure that the technology is secure and compliant with applicable laws and regulations. The audit process should include an assessment of the technology's security and privacy controls, as well as an evaluation of the company's compliance with its own internal policies and procedures. Additionally, the audit should determine if the company is adhering to applicable laws and regulations. Blockchain technology has had a significant impact on the way that audits are conducted. Blockchain allows for secure and transparent records, which can provide a more accurate picture of a company’s financial records. The use of smart contracts also increases the accuracy of audit results, while reducing the need for manual intervention. This can lead to increased efficiency and cost savings for companies and audit firms. In addition, the use of blockchain can also help to reduce the risk of fraud and errors in the audit process.

One of the issues that blockchain technology will affect independent auditing is audit procedures or evidence collection techniques. Auditors can develop new audit procedures so that they can obtain audit evidence directly from the blockchain. Auditors can use blockchain technology to automatically check the enormous number of transactions that create financial statements. For example, if all stock movement data is stored on the blockchain, auditors may calculate the stock balance remotely and in real time. As a result, the audit will progress in such a way that the auditors will be able to devote more time to other activities. Because blockchain allows transactions to be verified and audited without the need for a third party, it provides unparalleled clarity and confidence in internet-based transactions. As a result, portions of the audit process are effectively automated. The Effect of Blockchain on Audit:

1. **Facilitation of Certification Services:** The data recorded in IT is in an unchangeable structure because the auditor using the blockchain database can perform. This is a cost for the auditor but increases efficiency and time savings.
2. **Supervision of All Transactions:** The functionality of IT gives the auditor flexibility and accuracy since it provides an opportunity on the transactions where there is no need for sampling in the audit. Hence, it significantly increases the level of reasonable assurance.

3. **Real-Time Audit:** Blockchain-based accounting information systems enhance the approval of the transactions, and increase the ability for all users participating in the network. Hence, there will be no need to wait for the end of the period to carry out audit process, and audit activities can be carried out at any time.
4. **Reduction in Transaction Risk**: Distributed ledger structure of IT offers an advantage to add the transactions recorded in the blocks to the chain after they are approved by the parties where the risk of errors or omissions in the transactions are reduced. Therefore, the parties participating in the network transactions not agreed can not be approved.
5. **Irreversibility:** Transactions recorded and confirmed in blocks can no longer be changed and cannot be reversed. However, in case of a faulty transaction, adding a new block with a correction to the chain can easily eliminate the problem.
6. **Changing the Traditional Understanding of Control:** With all these features of IT and the benefits blockhain provides, auditors enhance better view on the businesses. New auditing models can be explored in auditing studies.

Today, with digitalization, the way businesses do business is changing and businesses need to keep up with the change. Incorporating new technologies into existing business processes is no longer a choice but a necessity. By understanding the requirements of these technologies by the business management and with the regulations of this technology by the legislators, the highest level of efficiency will be achieved from the blockchain technology. With the increasing number of blockchain technology, the existing risks both continue, and new technology brings new risks. This technology inevitably affects audit activities as it does all sectors. Businesses should identify these risks and take the necessary precautions. Internal audit departments should develop themselves on blockchain, and businesses should allocate an additional budget for those working in this department and ensure that they receive training on this subject. Thanks to the immutable, decentralized, transparency and timestamping features of the blockchain, data security is ensured, and data manipulation is seriously prevented. As a result, it is expected that many sectors from he banking and finance sector, logistics and supply chain to the health sector will be affected, especially cost and time savings, with the blockchain technology that has emerged to question the need for intermediary institutions that provide trust and to show that there is no need for trust in intermediary institutions.

Answer to the Question# 7(a)

As a compliance officer of a chocolate manufacturing company that imports raw materials from Ivory Coast, you should consider the following issues related to child labor to avoid any legal issues:

Compliance with International and Local Laws: The company should comply with the international conventions and local laws related to child labor. The International Labor Organization (ILO) Convention on the Worst Forms of Child Labor and the United Nations Convention on the Rights of the Child are essential instruments that need to be followed.

Supplier Verification: The company should verify the suppliers' adherence to child labor laws and policies. The company should ensure that the supplier is not using child labor, and if found, appropriate actions should be taken.

Sub-supplier verification: The company should verify and arranging that the sub-suppliers' or third party associates shall not be any child labor. The supplier should ensure that the supplier is not using child labor, and if found, appropriate actions should be taken.

Continuous Audit: The company shall assign external auditor for assurance report whether any child labor are involved by the supplier, sub-supplier or third party.

Monitoring and Inspection: The company should implement an effective monitoring and inspection program to ensure that child labor is not used in the supply chain. The company should conduct regular on-site visits and inspections to verify that suppliers are not using child labor.

Education and Awareness: The company should educate and raise awareness among suppliers, employees, and stakeholders about the dangers of child labor and its impact on society. This can be done through training programs, workshops, and awareness campaigns.

Remedy Mechanisms: The company should have remedial mechanisms in place to provide assistance to children who have been victims of child labor. The company should also establish grievance mechanisms that allow stakeholders to report cases of child labor.

Traceability: The company should ensure that the raw materials are traceable, from the source to the final product. This can be done through the use of technology such as blockchain, which allows for transparency in the supply chain.

Due Diligence: The company should conduct due diligence to identify, prevent, and mitigate the risk of child labor in its operations and supply chain.

By addressing these issues, the company can ensure compliance with child labor laws and avoid any legal issues related to child labor.

Answer to the Question# 7(b)

Using child labor in the chocolate manufacturing industry poses several risks for companies, including reputational damage, legal and regulatory penalties, and negative impacts on worker morale and productivity. Some of the specific risks associated with child labor in the industry include:

Legal Risks: Companies that use child labor can face legal sanctions, fines, and damage to their reputation. They may also face legal action by customers, shareholders, or other stakeholders.

Ethical Risks: Companies that use child labor may be viewed as unethical and may face boycotts or protests by consumers and civil society organizations.

Human Rights Risks: The use of child labor violates children's human rights, including their right to education, health, and protection from exploitation. The use of child labor can result in human rights violations, such as denying children access to education and exposing them to unsafe and unhealthy working conditions.

Supply Chain Risks: The use of child labor in the supply chain can lead to disruptions in the supply chain, as companies may face difficulties sourcing raw materials from suppliers who use child labor. If child labor is identified in the supply chain, it can lead to supply chain disruptions, increased costs, and loss of business.

Violation of Labor Laws: Employing children below the minimum working age or engaging in hazardous work for children violates labor laws and exposes companies to legal and regulatory penalties.

Reputational Damage: Reports of child labor in the supply chain can result in negative publicity and damage to the company's brand reputation, which can have a long-term impact on consumer trust and loyalty.

Companies can mitigate these risks by taking several measures, including:

Developing and implementing clear policies that prohibit the use of child labor in their operations and supply chain.

Conducting due diligence to identify and prevent the risk of child labor in their operations and supply chain.

Providing training and education to employees, suppliers, and stakeholders on child labor laws and the company's policies.

Conducting audits and inspections of suppliers to ensure compliance with child labor policies.

Implementing remediation measures to address any instances of child labor that are identified, such as providing support to children who have been affected by child labor.

Collaborating with stakeholders, including civil society organizations, industry groups, and government agencies, to address child labor issues in the industry.

Ensuring traceability of raw materials, from the source to the final product, to ensure transparency in the supply chain.

Developing and implementing child labor policies that prohibit the use of child labor in the supply chain.

Conducting regular due diligence to identify and mitigate child labor risks in the supply chain, including mapping the supply chain and conducting on-site audits.

Engaging with suppliers to raise awareness of child labor issues and promote compliance with labor laws and company policies.

Implementing traceability measures to ensure transparency in the supply chain and identify potential risks.

Establishing remediation mechanisms to address instances of child labor in the supply chain and provide support to affected children and families.

By taking these steps, companies can effectively mitigate the risks associated with child labor in the chocolate manufacturing industry and ensure compliance with international labor laws and ethical standards.

---The End---